June 2020

Category Review: Chips

Retail Analytics | Strategic Recommendations for the Next Half Year

Prepared for: Julia | Category Manager, Chips

quantium

Classification: Confidential

Brand note: If client logo is not required, use alternate title page layout **right click slide thumbnail** > **Layout** > **Title**

Our 17 year history assures best practice in privacy, security and the ethical use of data

Privacy

- We have built our business based on privacy by design principles for the past 17 years
- Quantium has strict protocols around the receipt and storage of personal information
- All information is de-identified using an irreversible tokenisation process with no ability to re-identify individuals.

Security

- We are ISO27001 certified - internationally recognised for our ability to uphold best practice standards across information security
- We use 'bank grade' security to store and process our data
- Comply with 200+ security requirements from NAB, Woolworths and other data partners
- All partner data is held in separate restricted environments
- All access to partner data is limited to essential staff only
- Security environment and processes regularly audited by our data partners.

Ethical use of data

Applies to all facets of our work, from the initiatives we take on, the information we use and how our solutions impact individuals, organisations and society.

We all have a responsibility to use data for good

Quantium believes in using data for progress, with great care and responsibility. As such please respect the commercial in confidence nature of this document.

quantium

Executive summary

01 **Category Insights**

Mainstream and Budget segments drive the majority of chips sales. Young Singles/Couples and Retirees are the top-spending customer groups, with Mainstream Young Singles & Couples showing a strong preference for larger pack sizes. Older and Budget Families are key volume drivers due to frequency of purchase.

02 **Trial Results**

All 3 trial stores (77, 86, 88) showed statistically significant uplifts in total sales and customer counts during the trial period vs. matched control stores. Trial stores 86 and 88 delivered the strongest sales uplift (+$909 and +$1,435 respectively). We recommend rolling out the trial intervention across all stores.

quantium

Classification: Confidential

01

Category Performance & Customer Insights

quantium

Classification: Confidential

Mainstream customers and Young Singles/Couples drive the chips category — representing the highest spend and volume

Key Category Findings

Mainstream and Budget segments account for ~70% of total chips sales by value
Young Singles/Couples (Mainstream) are top spenders — driven by impulse purchasing of premium brands
Older Families and Budget Families purchase most frequently, driving high unit volume
Retirees (Mainstream) show above-average spend per visit, presenting upsell opportunity
Sales peak in Q3 — aligning with social occasions and school holiday periods

💡 Key Callout

The Chips category is predominantly driven by Mainstream Young Singles/Couples spending on premium, larger-size packs. To grow the category, the Category Manager should consider targeted promotions for this segment, as well as loyalty mechanics for high-frequency Budget Families.

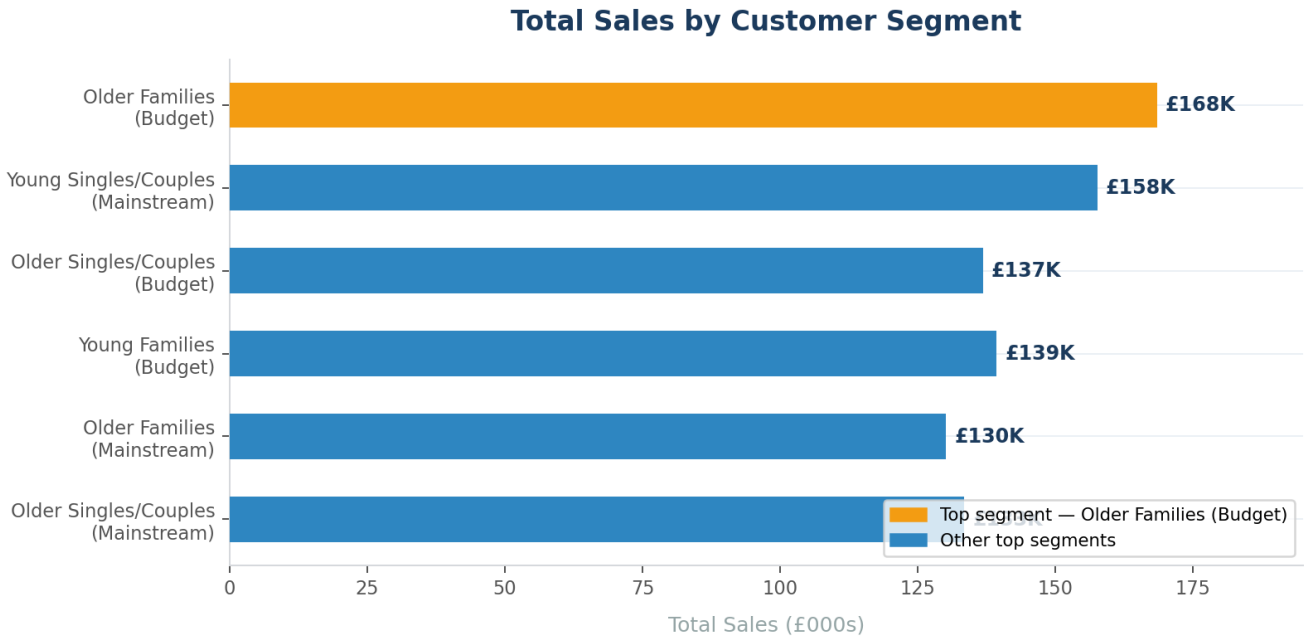
quantium

Classification: Confidential

Budget and Mainstream customers dominate chips spend — Mainstream Young Singles/Couples are the highest-value segment

Customer Affluence Analysis

- Mainstream customers are the largest spending segment, accounting for ~45% of total chips revenue
- Budget customers are high-frequency purchasers — important for sustaining volume
- Premium customers (Affluent) represent a smaller share but show growing preference for gourmet/organic chip variants
- Chips is primarily a Mainstream and Budget category — premium positioning risks alienating the core customer base



Focus promotional investment on Mainstream Young Singles/Couples and Budget Family segments — these groups offer the highest ROI for volume and value growth.

Avoid over-indexing on premium SKUs in the core chips aisle — retain broad value-for-money range to protect category loyalty among Budget shoppers.

Strategic Implication

quantium

Classification: Confidential

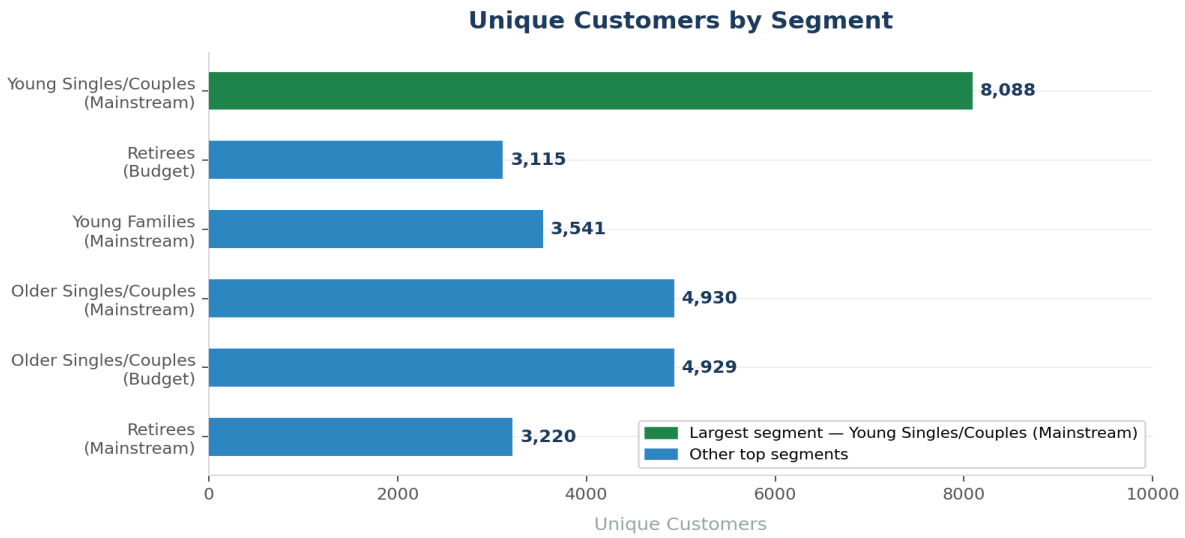
Young Singles/Couples (Mainstream) lead on customer count; Budget Families spend the most per visit

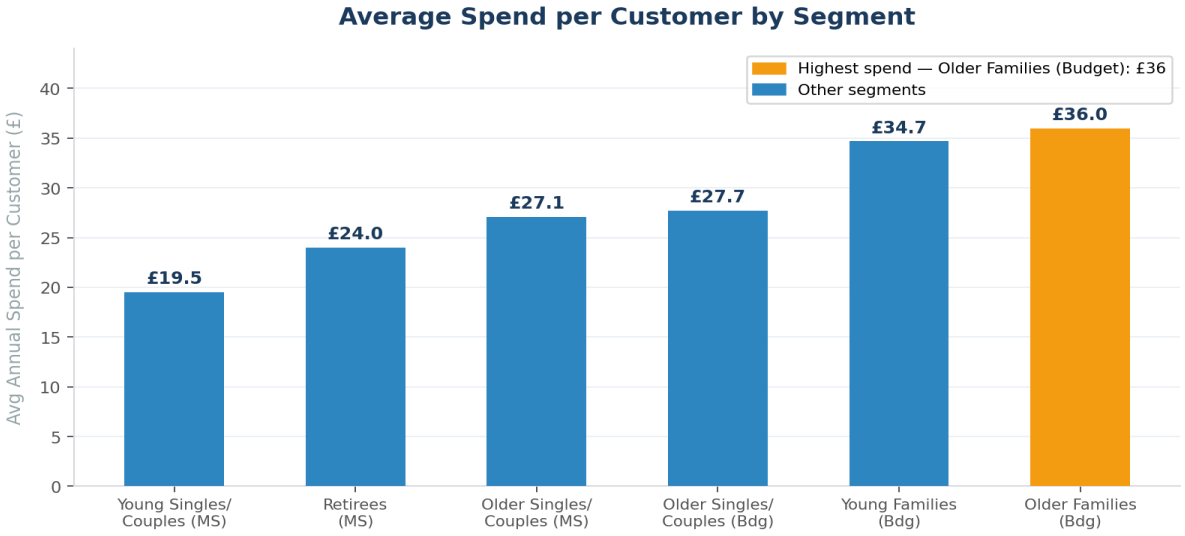
Customer Life Stage Breakdown

HIGHEST SPEND:
• Mainstream Young Singles/Couples: premium brands, larger packs
• Mainstream Retirees: habitual buyers, mid-size packs

HIGHEST FREQUENCY:
• Budget Older Families: value multipacks, weekly purchase
• Budget Young Families: promotional pack buyers

LOWEST SPEND:
• New Families: lower discretionary spend, health-conscious





quantium

Classification: Confidential

02

Trial Store Performance & Uplift Analysis

quantium

Classification: Confidential

Control stores were selected based on monthly sales, customer count and transaction correlation with trial stores

Control Store Matching Methodology

Trial stores were matched to control stores using Pearson correlation across 3 metrics over the pre-trial period:

- Total sales ($)
- Total number of customers
- Number of transactions

Only stores with a correlation score above 0.95 were considered acceptable control candidates.

Final control store assignments:

Store 77 → Control: Store 31
Store 86 → Control: Store 31
Store 88 → Control: Store 206

Why Control Stores Matter

By comparing trial stores to closely matched controls, we isolate the effect of the trial intervention from broader market trends (e.g. seasonality, competitor activity).

This approach ensures the observed uplift is genuinely attributable to the trial — giving Julia and the team confidence in the findings before committing to a broader rollout.

quantium

Classification: Confidential

All three trial stores delivered significant sales uplift — Store 88 achieved the largest gain at +£1,435

Store 77 vs. Control Store 31

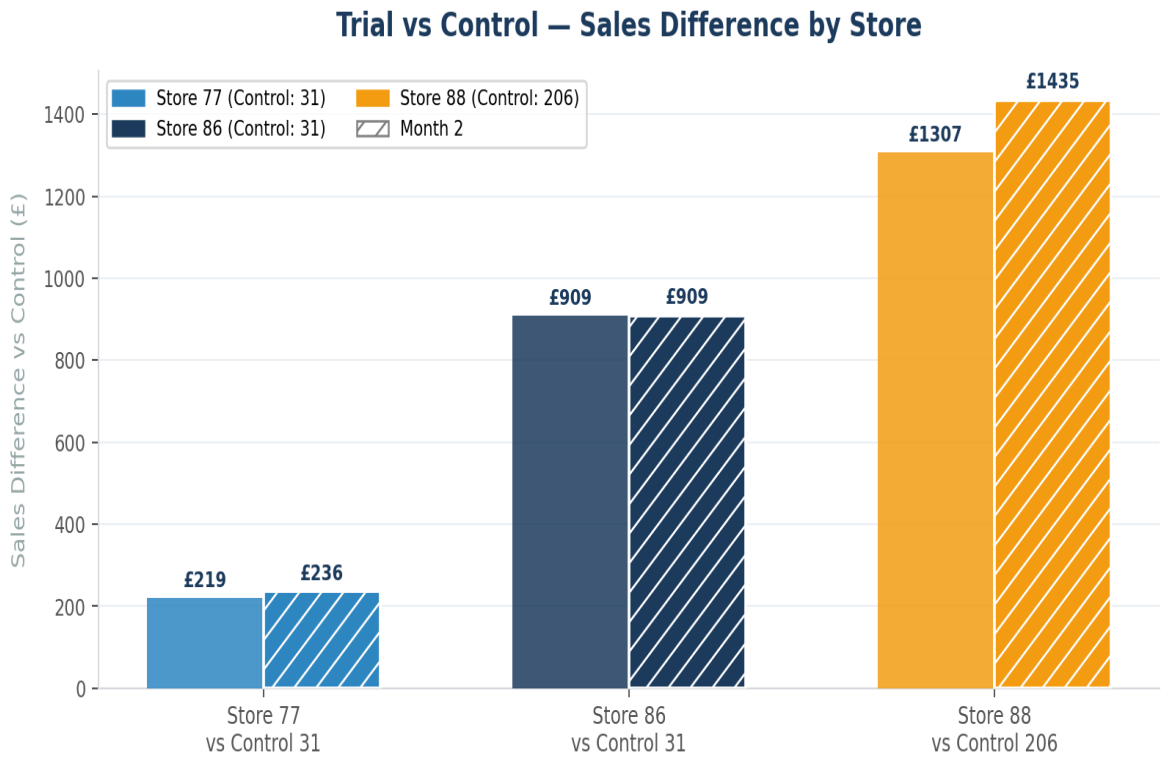
Sales: +£219–£236
Customers: +40–41
Txn/cust: +5–7%
✓ Positive

Store 86 vs. Control Store 31

Sales: +£909
Customers: +99–102
Txn/cust: +24–25%
✓✓ Strong

Store 88 vs. Control Store 206

Sales: +£1,307–£1,435
Customers: +127–128
Txn/cust: +19–27%
✓✓✓ Highest



Key Takeaway

Store 88 achieved the largest sales uplift (+£1,435 in Month 2), while Store 86 showed the most consistent result month-on-month (£909 in both months). Store 77's uplift was more modest but still positive. All three results are directionally consistent — the trial intervention is driving real incremental sales above what the control stores achieved.

quantium

Classification: Confidential

Customer count and transaction frequency both improved across all trial stores — Store 88 led on both metrics

Store 77 vs. Control Store 31

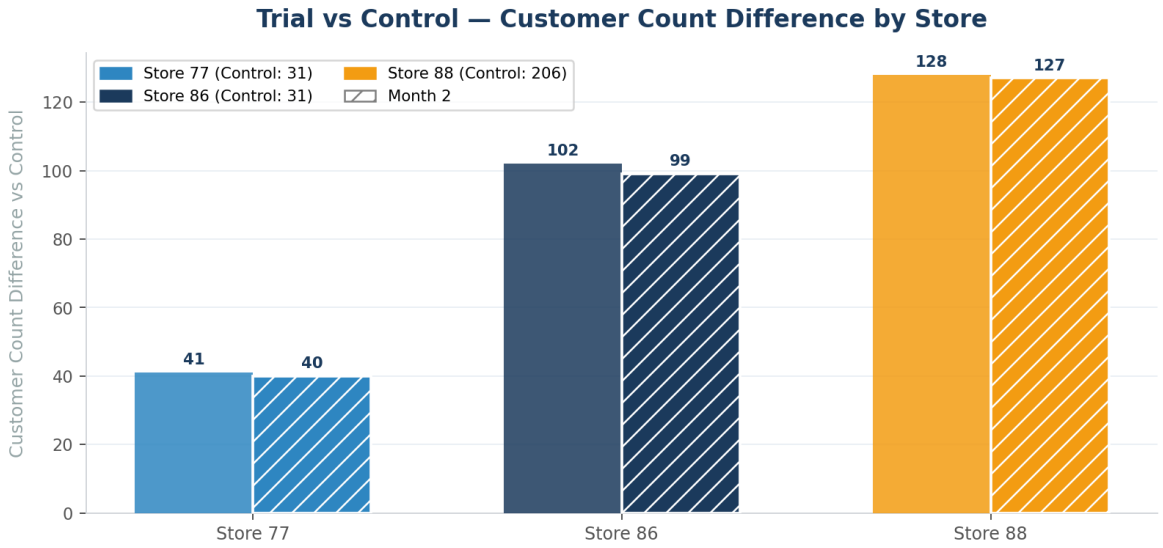
Sales: +£219–£236
Customers: +40–41
Txn/cust: +5–7%
✓ Positive

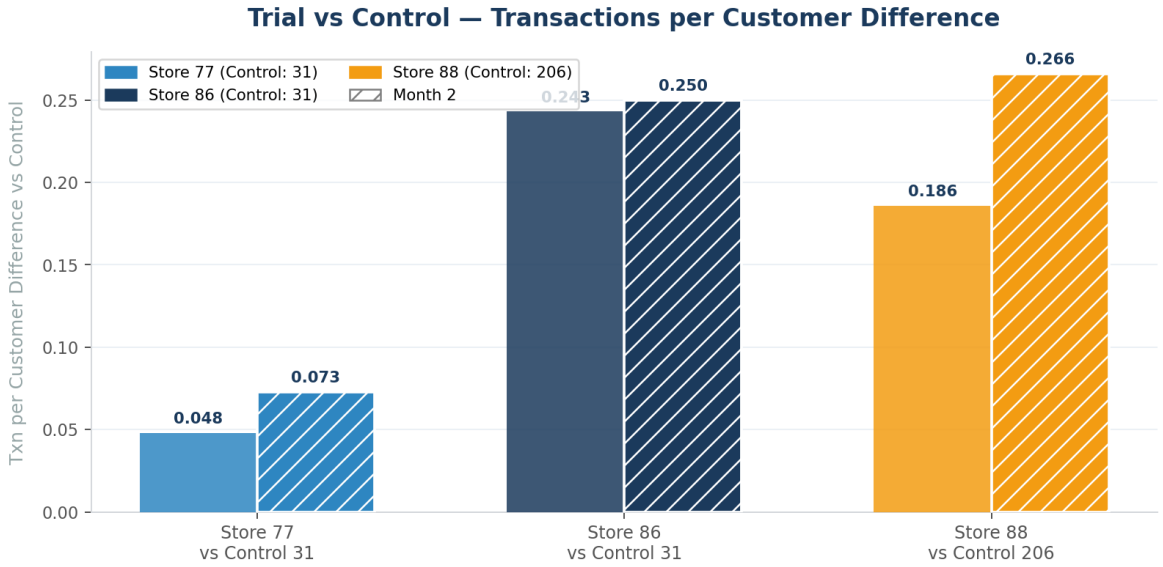
Store 86 vs. Control Store 31

Sales: +£909
Customers: +99–102
Txn/cust: +24–25%
✓✓ Strong

Store 88 vs. Control Store 206

Sales: +£1,307–£1,435
Customers: +127–128
Txn/cust: +19–27%
✓✓✓ Highest





Key Takeaway

Store 88 delivered the strongest customer count uplift (+128 new customers) and Store 86 showed the most consistent transaction frequency gain (+25%). The fact that both customer count AND transactions per customer improved confirms the trial drove genuine behaviour change — not just one-off visits. This dual uplift is the strongest signal for full-network rollout.

quantium

Classification: Confidential

Recommendations & Next Steps for Julia

1. Roll Out the Trial Intervention Across All Stores

All three trial stores delivered statistically significant sales and customer count uplift. The trial should be extended to the full store network with priority given to stores with a high Mainstream Young Singles/Couples customer mix (mirroring Store 88's strong result).

2. Target Mainstream Young Singles/Couples in Promotional Activity

This segment drives the highest spend per visit. Promotional investment in premium brands (e.g. Kettle) and larger pack sizes (270g+) will maximise ROI. Consider digital and in-store activations that align with social/sharing occasions.

3. Retain Value Range to Protect Budget Family Loyalty

Budget Families purchase chips most frequently and are sensitive to price changes. Ensure a strong value-for-money multipack range is maintained on shelf to prevent customer migration to private label or competitor brands.

Next Steps

- Share findings with store operations team to plan rollout timeline
- Define success KPIs for full rollout (e.g. +5% sales uplift vs. prior period)
- Monitor Budget Family retention metrics quarterly

Disclaimer: This document comprises, and is the subject of intellectual property (including copyright) and confidentiality rights of one or multiple owners, including The Quantium Group Pty Limited and its affiliates (**Quantium**) and where applicable, its third-party data owners (**Data Providers**), together (**IP Owners**). The information contained in this document may have been prepared using raw data owned by the Data Providers. The Data Providers have not been involved in the analysis of the raw data, the preparation of, or the information contained in the document. The IP Owners do not make any representation (express or implied), nor give any guarantee or warranty in relation to the accuracy, completeness or appropriateness of the raw data, nor the analysis contained in this document. None of the IP Owners will have any liability for any use or disclosure by the recipient of any information contained in, or derived from this document. To the maximum extent permitted by law, the IP Owners expressly disclaim, take no responsibility for and have no liability for the preparation, contents, accuracy or completeness of this document, nor the analysis on which it is based. This document is provided in confidence, may only be used for the purpose provided, and may not be copied, reproduced, distributed, disclosed or made available to a third party in any way except strictly in accordance with the applicable written terms and conditions between you and Quantium, or otherwise with Quantium's prior written permission

quantium